

Claiming GST input tax [¶32-021]

[¶32-021]

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Input tax is, broadly, GST paid by a registered person. It covers tax charged on the acquisition of goods and services and Customs GST levied on imported goods. It also includes the tax fraction (ie 3 divided by 23) of the consideration in money for certain purchases of secondhand goods by a registered person where there is no GST impost on the transaction (the secondhand goods credit). The term “input tax” is defined in s [3A](#) of the GST ACT.

There are detailed rules regarding the amount of input tax, the entitlement to deduct it and the secondhand goods credit. These and other aspects of input tax are explained below. Apportionment and adjustments are covered later in this chapter.

The amount of input tax

Generally, the amount of input tax is the GST charge when a person acquires goods or services, or the amount of Customs GST levied on imported goods, or the tax fraction of the consideration paid when purchasing secondhand goods.

However, special rules apply to the amount of input tax credit claimable in respect of certain associated party transactions. They place a maximum limit on the amount of input tax, being the output tax actually accounted for in respect of the relevant transactions ([¶32-022](#)).

Additional valuation rules also apply to the secondhand goods input tax credit ([¶32-686](#)).

Entitlement to deduct

Section [20\(3C\)](#) specifies that input tax may be deducted only to the extent to which the goods or services are used for, or are available for use in, making taxable supplies.

Three important consequences follow from this wording:

- # Firstly, a person can only claim input tax “to the extent that” they apply the goods for taxable use. This wording plainly establishes apportionment.
- # Secondly, the test is one of “use” (or availability for use).
- # Thirdly, the goods or services must be for “making taxable supplies”.

Section [20\(3C\)](#) also prevents a registered person from claiming input tax deductions for goods entered for home consumption (imported goods) when they deliver or arrange the delivery of the goods to a person in New Zealand.

Who can claim?

The person who claims input tax is the person who “acquires” the relevant goods and services. This rule applies for the acquisition of taxable supplies and for the secondhand goods input tax credit ([¶32-686](#)). See also Case N39 ([1991](#)) [13 NZTC 3,333](#), Case P84 ([1992](#)) [14 NZTC 4,561](#) and Case T10 ([1997](#)) [18 NZTC 8,055](#).

For Customs GST, the relevant person is the one who “enters the goods for home consumption” (ie the importing party) ([¶32-660](#)).

For all forms of input tax, the goods or services must be used for (or be available for use in) making taxable supplies by the person claiming input tax.

Deducting input tax

Tax invoices after 1 April 2023

For taxable periods starting on or after 1 April 2023, the new taxable supply information rules apply which alleviate the need for a formal tax invoice to be issued by the supplier in order for a recipient to be able to claim an input tax credit ([¶32-151](#)).

For discussion on tax invoices before 1 April 2023, see previous editions of the *New Zealand Master Tax Guide*, or the New Zealand GST Commentary at [¶29-010](#).

Time limit

The ability to make an input tax deduction for a particular taxable period in a later period is subject to the specific mechanism in the proviso to s [20\(3\)](#).

Under para ([a](#)) of the proviso, a registered person is subject to a 2-year time limit in which a GST input tax deduction omitted from an earlier taxable period can be claimed in a later taxable period. That later taxable period must begin on or before the date that is 2 years from:

- # the date on which the payment for the taxable supply is made, or
- # the date on which taxable supply information is issued for the taxable supply, whichever is the earlier.

In addition, under para ([b](#)) of the proviso, there is no time limit where the failure to make the deduction in the earlier taxable period arises from:

- # an inability to obtain taxable supply information
- # a dispute over the payment amount for the supply
- # a mistaken understanding that the supply was not a taxable supply, or
- # a clear mistake or simple oversight.

An exception exists for newly registered persons who may claim input tax on purchases made at any time before their registration if those goods or services will be used in making taxable supplies. The amount of that input claim must reflect any previous use of those goods or services before the taxpayer's GST registration (s [21B](#) and [¶32-088](#)).

Law: GST ss [3A](#), [20\(2\)](#), ([3](#)), ([3C](#))–([3K](#)), [21B](#)

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